

25STCV26371 25STCV26371

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Case Number: 25STCV26371 Hearing Date: June 24, 2026 Dept: 507

Tentative

Ruling

Judge Nicholas

F. Daum, Department 507

HEARING

DATE: June 24, 2026 TRIAL DATE: NOT SET

CASE: Nick Juan Mostert v. State Compensation

Insurance Fund, et al.

CASE

NO.: 25STCV26371

DEMURRER TO SECOND AMENDED

COMPLAINT AND MOTION TO STRIKE

MOVING

PARTY: Defendants State Compensation

Insurance Fund ("SCIF"), Mark Lawrence Beatty, Noah Graff, and Brian Krikorian

RESPONDING

PARTY(S): Plaintiff

Nick Juan Mostert

TENTATIVE RULING:

Defendants'

Demurrer to the Second Amended Complaint is OVERRULED.

Defendants'

Motion to Strike is DENIED.

Defendants

are to serve and file their Answer to the Second Amended Complaint within

thirty (30) days of this order.

Moving Parties to give notice.

BACKGROUND

This

is an employment discrimination and whistleblower retaliation action. Mostert

alleges that he was subjected to a harassment campaign based on his age, medical

history, and complaints of unlawful activity.

DISCUSSION:

Demurrer

to Second Amended Complaint

Defendants demur to the Second Amended

Complaint in its entirety. The Court overrules the demurrer in its entirety.

Legal

Standard

A

demurrer tests whether the complaint states a cause of action. (Hahn v.

Mirida (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts

read the allegations liberally and in context. (Taylor v. City of Los

Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) In a

demurrer proceeding, the defects must be apparent on the face of the pleading

or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004)

116 Cal.App.4th 968, 994.)

Immunity

From FEHA Claims

SCIF argues that it is immune from

Mostert's FEHA claims because FEHA does not apply to it. This argument is without

basis.

Insurance

Code section 11873, on which SCIF relies, states that SCIF "shall not be

subject to the provisions of the Government Code made applicable to state agencies generally or collectively” barring certain enumerated exceptions. (Ins. Code § 11873(a).) SCIF asserts that this provision serves to immunize it from FEHA’s prohibition on employment discrimination. It does not.

Our fundamental task in

construing [...] any legislative enactment, is to ascertain the intent of the lawmakers so as to effectuate the purpose of the statute. We begin as always with the statute’s actual words, the most reliable indicator of legislative intent, assigning them their usual and ordinary meanings, and construing them in context. If the words themselves are not ambiguous, we presume the Legislature meant what it said, and the statute’s plain meaning governs. On the other hand, if the language allows more than one reasonable construction, we may look to such aids as the legislative history of the measure and maxims of statutory construction. In cases of uncertain meaning, we may also consider the consequences of a particular interpretation, including its impact on public policy.

(Even

Zohar Constr. & Remodeling, Inc. v. Bellaire Townhouses, LLC (2015) 61

Cal. 4th 830, 837-838 [internal citations and quotations omitted].) Even at the

first stage (“actual words”), the Court must consider “cross-referenced”

provisions and the overall “structure of the statutory scheme.” (Larkin v. Workers’ Comp. Appeals Bd. (2015)

62 Cal.4th 152, 160.)

Here,

both the plain language of Insurance Code section 11873 and the cross-referenced

provisions belie SCIF’s argument. Subdivision (a) expressly states that the

fund is not subject to portions of the Government Code “made applicable to

state agencies.” Although FEHA is part of the Government Code, section 12940 is

not such a provision targeting state agencies, but rather a provision made

applicable to employers, regardless of their nature as private

or public entities. Insurance Code section 11873 cannot reasonably be

construed as a general exemption of SCIF from state law.

Even

if the Court were to consider the Insurance Code section to be ambiguous,

nothing in the legislative history evinces any intention to elevate SCIF,

alone amongst government entities, to immunity from suit for employment

discrimination. Nor has SCIF articulated any conceivable public policy which

the Legislature might have sought to achieve through such an absurd outcome. Further,

SCIF has not presented any authority holding that it should be considered

immunized from employment discrimination law. Rather, the purpose of section

11873 is to place SCIF in the position of a private enterprise, notwithstanding

its inception as a public entity. (Maxon Industries, Inc. v. State

Compensation Ins. Fund (1993) 16 Cal.App.4th 1387, 1389 [SCIF exempt from

Tort Claims Act]; Notrica v. State Compensation Insurance Fund (1999) 70

Cal.App.4th 918, 941 [SCIF to be treated as a private enterprise].) Private

enterprises are prohibited from engaging in employment discrimination under

FEHA. SCIF is not immunized from that prohibition.

First

Cause of Action: Whistleblower Retaliation

Defendants demur to the first cause of

action for whistleblower retaliation. The Court sustains the demurrer because

Mostert has not clearly identified the specific activities and statutes, rules,

or regulations which he believed were violated.

Labor

Code section 1102.5(b) states:

An employer, or any person

acting on behalf of the employer, shall not retaliate against an employee for

disclosing information, or because the employer believes that the employee

disclosed or may disclose information, to a government or law enforcement agency,

to a person with authority over the employee or another employee who has the

authority to investigate, discover, or correct the violation or noncompliance,

or for providing information to, or testifying before, any public body
conducting an investigation, hearing, or inquiry, if the employee has
reasonable cause to believe that the information discloses a violation of state
or federal statute, or a violation of or noncompliance with a local, state, or
federal rule or regulation, regardless of whether disclosing the information is
part of the employee's job duties.

(Labor

Code § 1102.5(b).) To allege a violation of this statute, the plaintiff “must
identify both the specific activity and the specific statute, rule, or regulation
at issue.” (Nejadian v. County of Los Angeles (2019) 40 Cal. App. 5th
703, 706.)

Contrary to Defendants’ assertions,

Mostert has complied with this requirement. The Second Amended Complaint identifies
the activities which Mostert sought to report, such as government waste and
mismanagement (SAC ¶¶ 11-15), placement of non-attorney specialists on legal
letterhead (¶ 18), discrimination, harassment, and retaliation in violation of
FEHA, (¶¶ 25-28), disclosure of medical information (¶ 29), and improper threats
of criminal prosecution (¶39). Crucially, Mostert alleges that he reported
conduct which he believed to be in violation of FEHA—the same conduct which is
the basis of his FEHA claims addressed below. This is sufficient.

Accordingly, the Demurrer to the first

cause of action for whistleblower retaliation is OVERRULED.

Second

Cause of Action: Employment Discrimination

Defendants demur to the second cause

of action for employment discrimination. The Court rejects Defendants'

arguments in their entirety. Mostert adequately alleges multiple theories of

discrimination.

1. Age Discrimination

Defendants

contend that Mostert has not adequately pled age discrimination. The Court

disagrees.

To

state a prima facie case for discrimination under FEHA, a plaintiff must allege

that (1) the plaintiff was a member of a protected class, (2) she was qualified

for the position she held, (3) she suffered an adverse employment action, and

(4) some other circumstances that suggests a discriminatory motive. (Guz v.

Bechtel Nat. Inc. (2000) 24 Cal. 4th 317, 355.)

Defendants

assert that this cause of action is barred by the statute of limitations

because, according to them, the only allegation related to age is a disparaging remark from 2017. This is a mischaracterization of the pleadings. Mostert alleges a campaign of discriminatory actions based in part on his age, beginning in 2017 and continuing through his resignation. Mostert claims that his supervisor, John Anderson, made disparaging remarks referencing his age and physical frailty between 2017 and 2019 (SAC ¶¶ 17, 19) and issued Mostert negative performance evaluations and disciplinary action between 2019 and 2022 (¶¶ 20-23.) Mostert further alleges that Beatty attempted to assign him to prepare a document that Mostert claims would have humiliated him (SAC ¶ 26). This treatment continued into 2024, with Graff repeatedly threatening Mostert with criminal prosecution for the use of hearing assistive technology, while Krikorian issued meritless criticisms of Mostert's performance. (SAC ¶¶ 29-36, 38.) Mostert alleges that he was ultimately forced to resign in 2025 after SCIF demanded the return of his work-issued laptop and phones while Mostert was on FMLA leave. (¶¶ 41-43.) It is no great leap of logic to infer from these allegations that Mostert was constructively terminated on the basis of his age. Because this reasonable inference must be drawn in his favor, the pleadings plainly allege a continuing violation through 2025. (See *Richards v. CH2M Hill, Inc.* (2001) 26 Cal.4th 798, 823.) The age discrimination claim is not defective.

2. Disability Discrimination

Defendants

also argue that the second cause of action fails to adequately plead a claim

for disability discrimination. The Court again disagrees.

To

establish a prima facie case of disability discrimination, a Plaintiff must

demonstrate that he “(1) suffered from a disability, or was regarded as

suffering from a disability; (2) could perform the essential duties of the job

with or without reasonable accommodations; and (3) was subjected to an adverse

employment action because of the disability or perceived disability.” (Wills

v. Superior Court (2011) 195 Cal.App.4th 143, 159-60.)

Defendants

assert that Mostert has not alleged any facts from which discriminatory intent

can be inferred. This assertion is specious. That inference can readily be

drawn from the factual allegations of Mostert’s mistreatment, not least of

which are the alleged threats of criminal prosecution for the use of assistive

technology (SAC ¶¶ 29-36). The Court categorically rejects Defendants’

argument.

Third

Cause of Action: Harassment

Defendants contend that Mostert has

not adequately pled a claim for FEHA harassment. The Court disagrees.

To

establish a prima facie case of harassment via a hostile work environment under the Fair Employment and Housing Act, an employee must show that (1) they are a member of a protected class; (2) that they were subjected to unwelcome harassment; (3) that the harassment was based on the employee's protected status; (4) the harassment unreasonably interfered with the employee's work performance by creating an intimidating, hostile, or offensive work environment; and (5) defendants are liable for the harassment. (Gov. Code § 12940(a).) The complained-of conduct must be sufficiently severe or pervasive to alter the conditions of employment to create a work environment that qualifies as hostile or abusive to an employee because of their protected status. (Gov. Code § 12940(j)(1).)

Defendants

argue that Mostert has not alleged a harassment claim because the overwhelming majority of the conduct alleged consists of personnel management actions, such as suspensions, work assignments, performance evaluations, and "Notices to Improve." Not so. While personnel management decisions do not innately constitute a harassment claim, those decisions are evidence of harassment

where they are the mechanism by which an offensive message is communicated. ((Roby v. McKesson Corp. (2009) 47 Cal.4th 686, 708.) Further, our Legislature has expressly stated that “[t]he existence of a hostile work environment depends upon the totality of the circumstances.” (Gov. Code § 12923(c).) Moreover, “[h]arassment cases are rarely appropriate for disposition on summary judgment.” (Id. subd. (e).) If harassment claims are “rarely appropriate” for resolution by summary judgment, basic legal reasoning implies that they cannot be more appropriate for resolution by demurrer.

Defendants also contend that Mostert has not alleged any conduct was engaged in because of his alleged disability or any other protected status. The Court disagrees for the reasons set forth above.

Fourth

Cause of Action: FEHA Retaliation

Defendants demur to the fourth cause of action for retaliation in violation of FEHA for failure to state a claim. The Court rejects their contention.

“[I]n

order to establish a prima facie case of retaliation under the FEHA, a plaintiff must show (1) he or she engaged in a 'protected activity,' (2) the

employer subjected the employee to an adverse employment action, and (3) a causal link existed between the protected activity and the employer's action."

(Yanowitz v. L'Oreal USA, Inc. (2005) 36 Cal.4th 1028, 1042.)

Defendants

argue that the fourth cause of action is defective because Mostert has not alleged any protected activity nor a causal connection to any adverse employment action. The Court disagrees. As discussed above with respect to the first cause of action, Mostert has alleged that he was constructively terminated as retaliation for, in part, disclosing conduct he believed to be in violation of FEHA.

Fifth

Cause of Action: Failure to Prevent

Defendants demur to the fifth cause of action for failure to prevent discrimination, harassment, and retaliation for failure to state a claim. The parties agree that this cause of action is derivative of the preceding four causes of action. Because the Court has rejected the demurrer as to those claims, this cause of action is not subject to demurrer.

Sixth

Cause of Action: Negligent Hiring, Retention, & Supervision

Defendants demur to the sixth cause of

action for negligent hiring, retention, and supervision for failure to state a claim. The Court disagrees.

Defendants

first argue that this cause of action is barred by the exclusive remedy of worker's compensation. It is not. Workers' compensation exclusivity is not a bar to a pleading which states viable claims under FEHA. (M.F. v. Pacific Pearl Hotel Management LLC (2017) 16 Cal.App.5th 693, 700.)

Second,

Defendants assert that this cause of action fails to identify the bad actors who were negligently hired, supervised, or retained, or that SCIF should have known that they were unfit. This is a specious argument. A cursory review of the pleadings identifies the individual Defendants as the "bad actors" and plainly alleges that SCIF was on notice of their lack of fitness. (See, e.g., SAC ¶¶ 25-28.) The sixth cause of action is not subject to demurrer.

Seventh

Cause of Action: Failure to Engage in Interactive Process

Defendants demur to the seventh cause of action for failure to engage in the interactive process for failure to state a claim. The Court rejects their arguments.

Under Government Code section 12940 (n), it is an unlawful employment practice, unless based on a bona fide occupational qualification or on applicable security regulations established by the United States or the State of California, "for an employer . . . to fail to engage in a timely, good faith, interactive process with the employee . . . to determine effective reasonable accommodations, if any, in response to a request for reasonable accommodation by an employee . . . with a known physical or mental disability or known medical condition."

Defendants assert that this cause of action is defective because Mostert admits that SCIF participated in "repeated interactive-process meetings" and granted him accommodations in the form of leaves of absences and closed captioning. (SAC ¶¶ 20-21, 30, 37.) This argument is frivolous. Mostert alleges that he was not allowed to use closed-captioning accommodations and was threatened with criminal prosecution for their use. (SAC ¶¶ 36-37.) The seventh cause of action is adequately pled.

Eighth

Cause of Action: Failure to Provide Reasonable Accommodation

Defendants demur to the eighth cause

of action for failure to provide a reasonable accommodation for failure to

state a claim. The Court rejects their arguments.

Under Government Code section 12940(m), an employer

has a duty to make “reasonable accommodation for the known physical or mental

disability of an . . . employee.” (Gov. Code § 12940(m).) To prevail on this

cause of action, a plaintiff must prove that “(1) the plaintiff has a

disability covered by the FEHA; (2) the plaintiff is a qualified individual

(i.e., he or she can perform the essential functions of the position); and (3)

the employer failed to reasonably accommodate the plaintiff’s disability.[Citation.]’

” (Hernandez v. Rancho Santiago Cmty. College Dist. (2018) 22 Cal.App.5th

1187, 1193-1194.) “Under the FEHA, ‘reasonable accommodation’ means ‘a

modification or adjustment to the workplace that enables the employee to

perform the essential functions of the job held or desired.” (Cuiellette v.

City of Los Angeles (2011) 194 Cal.App.4th 757, 766.) “‘Ordinarily, the

reasonableness of an accommodation is an issue for the jury.” (Prilliman v. United Air Lines, Inc. (1997) 53 Cal.App.4th 935, 954.)

Defendants assert that Mostert has not

sufficiently alleged a disability covered under FEHA because he has alleged a

“hearing deficit.” (SAC ¶ 30.) Defendants offer no explanation for their

position. Bare citations to the statute and various appellate authorities

dealing with a range of conditions do not demonstrate the deficiency of this

cause of action. Moreover, a hearing deficit, on its face, is a condition that

limits a major life activity, and therefore falls under the definition of a

FEHA disability. (See Gov. Code §

12926(j)(1)(A); (m)(1)(b).)

Defendants also assert that Mostert

was in fact provided reasonable accommodations. As discussed above, this

argument is belied by a cursory review of the pleadings.

Ninth

Cause of Action: Discrimination and Retaliation for Accommodations

Defendants demur to the ninth cause of

action for discrimination and retaliation for requesting accommodations for

failure to state a claim. Defendants state that this cause of action is

derivative and duplicative of the FEHA claims. The Court agrees that this claim

is derivative, in that it is premised on the same facts, but not that it

is duplicative. FEHA contains a separate provision prohibiting

discrimination or retaliation on the specific basis of an employee requesting

accommodations for a disability. (Gov Code. § 12940(m)(2).) Mostert is entitled

to identify that provision as a separate basis for liability for the same

conduct. Because Mostert's other FEHA claims are adequately pled, this cause of

action is likewise sufficient.

Tenth

Cause of Action: Intentional Infliction of Emotional Distress

Defendants demur to the tenth cause of

action for intentional infliction of emotional distress for failure to state a

claim. The Court rejects their arguments in their entirety.

“The elements of the tort of intentional infliction of emotional

distress are: (1) extreme and outrageous conduct by the defendant with the

intention of causing, or reckless disregard of the probability of causing,

emotional distress; (2) the plaintiff's suffering severe or extreme emotional

distress; and (3) actual and proximate causation of the emotional distress by

the defendant's outrageous conduct.” (Catsouras v. Department of California

Highway Patrol (2010) 181 Cal.App.4th 856, 874-875.) The defendant's

conduct must be “directed primarily” at the plaintiffs, “calculated to cause

them severe emotional distress,” or “done with knowledge of their presence and

of a substantial certainty that they would suffer severe emotional injury.” (Christensen

v. Superior Court (1991) 54 Cal.3d 868, 906.)

Defendants

argue that this cause of action is barred by the exclusive remedy of worker's

compensation. It is not. Workers' compensation exclusivity is not a bar to a

pleading which states viable claims under FEHA. (M.F. v. Pacific Pearl Hotel

Management LLC (2017) 16 Cal.App.5th 693, 700.)

Defendants also assert that this cause

of action is defective because it does not allege extreme and outrageous

conduct. The Court disagrees. "Neither discrimination nor harassment is a normal incident of

employment." (Nazir v. United Airlines, Inc., supra, 178 Cal.App.4th at 288 [reversing summary

adjudication of intentional infliction of emotional distress claim where

summary adjudication could not be granted on discrimination and harassment

claims].)

Uncertainty

Defendants

also assert that the Second Amended Complaint is uncertain. It is not.

A

demurrer for uncertainty is strictly construed, even where a pleading is in

some respects uncertain, because ambiguities can be clarified under modern

discovery procedures. (See Khoury v. Maly's of California, Inc. (1993)

14 Cal.App.4th 612, 616.) A demurrer for uncertainty will be sustained

only where the pleading is so bad that defendant cannot reasonably

respond--i.e., he or she cannot reasonably determine what issues must be

admitted or denied, or what counts or claims are directed against him or her.

(See Weil & Brown, Civil Procedure Before Trial (The Rutter Group) § 7:85

(emphasis in original).) "The objection of uncertainty does not go to the

failure to allege sufficient facts." (Brea v. McGlashan (1934)

3 Cal.App.2d 454, 459.)

The

demurrer itself amply demonstrates that the Second Amended Complaint was

sufficiently clear in its allegations to permit the Defendants to respond to

the claims asserted against them.

Meet

and Confer

Before

filing a demurrer, the demurring party shall meet and confer in person or by

telephone or video conference with the party who has filed the pleading subject

to the demurrer and file a declaration detailing their meet and confer efforts. (Code Civ. Proc., § 430.41(a).) However, an

insufficient meet and confer process is not grounds to overrule or sustain a

demurrer. (Code Civ. Proc., §

430.41(a)(4).)

Defendants

filed a declaration by their counsel stating that the parties met and conferred

telephonically on February 18, 2026, but could not resolve this dispute.

(Declaration of Michael J. Monteiro ISO Dem. ¶ 4.) This is sufficient.

Requests for Judicial Notice

Defendants

request that the Court take judicial notice of (1), the Joint Stipulation

regarding the filing of the Second Amended Complaint, and (2) Mostert's

September 8, 2025 CRD Notice. Defendants' requests are GRANTED pursuant to

Evidence Code sections 452(d) and (c), respectively.

Defendants

also request that the Court take judicial notice of Insurance Code section

11873 and Government Code section 12940. Although it is not strictly necessary

to request judicial notice of statutes, Defendants' requests are GRANTED

pursuant to Evidence Code section 452(c).

Conclusion

Accordingly,

Defendants' Demurrer to the Second Amended Complaint is OVERRULED.

Motion

to Strike

Defendants move to strike portions of

the Second Amended Complaint. The Court denies the motion.

Legal

Standard

The Court may, on motion of a party or

at any time in its discretion, strike out any irrelevant, false, or improper matter inserted in a pleading, or any part of a pleading not drawn or filed in conformity with the laws of this state, a court rule, or a court order. (Code Civ. Proc. § 436.) The grounds for striking must appear on the face of the pleading or from a matter of which the Court is required to take judicial notice. (Code Civ. Proc. § 437.)

Analysis

Defendants seek to strike references in the second and third causes of action to “other protected characteristics” as an improper basis for a FEHA claim. Defendants’ motion amounts to nothing more than an improper “line-item veto.” (See *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1683.)

The Court declines to strike this language from the pleadings.

Meet

and Confer

Before

filing a motion to strike, the moving party shall meet and confer in person, by telephone, or by video conference with the party who has filed the pleading subject to the motion to strike and file a declaration detailing their

meet and confer efforts. (Code Civ. Proc., § 435.5(a).) However, an insufficient meet and confer process is not grounds to grant or deny a motion to strike. (Code Civ. Proc., § 435.5(a)(4).)

Defendants

filed a declaration by their counsel stating that the parties met and conferred telephonically on February 18, 2026, but could not resolve this dispute.

(Declaration of Michael J. Monteiro ISO Mot. ¶ 4.) This is sufficient.

Conclusion

Accordingly, Defendants' Motion to

Strike is DENIED.

CONCLUSION:

Accordingly, Defendants' Demurrer to the

Second Amended Complaint is OVERRULED.

Defendants'

Motion to Strike is DENIED.

Defendants

are to serve and file their Answer to the Second Amended Complaint within thirty (30) days of this order.

IT IS

SO ORDERED.

Dated: June 24, 2026 _____

Nicholas

F. Daum

Judge

of the Superior Court

Any party may submit on the

tentative ruling by contacting the courtroom via email at by no later than 4:00 p.m. the day before the hearing. All

interested parties must be copied on the email. It should be noted that if you

submit on a tentative ruling the court will still conduct a hearing if any

party appears. By submitting on the tentative you have, in essence, waived your

right to be present at the hearing, and you should be aware that the court may

not adopt the tentative, and may issue an order which modifies the tentative

ruling in whole or in part.